Indogulf Cropsciences Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Delhi-based maker of crop protection chemicals (insecticides, herbicides, fungicides), plant nutrients and biological farm inputs. It sells branded packs to farmers through dealers (B2C), technical-grade chemicals to bigger agrochemical companies (B2B), and exports to dozens of countries. Plants are at Barwasni (Sonipat, Haryana) and elsewhere; a subsidiary, Abhiprakash Globus (mascot 'Giraffe'), sells a second brand line in rural markets. Listed in 2025 (per the shareholding table).

Number	Value	What it means
Market cap	Rs 385 cr	What the market values the whole company at; a small company.
Sales, FY26 (standalone, Screener)	Rs 676 cr	Up about 14% on FY25. Management said 19% on a consolidated basis (May 2026).
Net profit, FY26	Rs 39 cr	Up from Rs 32 cr; a thin profit on sales, typical of generic agrochemicals.
Operating margin, FY26	10%	Each Rs 100 of sales leaves about Rs 10 before interest, depreciation and tax.
Sep 2026 quarter sales (standalone)	Rs 238 cr	About 4% lower than a year ago on Screener; management reported consolidated revenue of Rs 255.8 cr, up 3%.
Sep 2026 quarter operating margin	14%	Up from 12% a year ago (consolidated EBITDA margin 16% vs 13%), on a richer product mix and lower costs.
Stock P/E	9.7x	A low price for the earnings, which reflects the weather-driven ups and downs.
Promoter holding	69.05%	Unchanged since the 2025 listing.

2. Concall coverage

Quarter	Date	Transcript read?
Q1 FY26	14 Aug 2025	Yes, read in full
Q2 FY26	13 Nov 2025	Yes, read in full
Q3 FY26	12 Feb 2026	Yes, read in full
Q4 FY26	29 May 2026	Yes, read in full
Q1 FY27	18 Aug 2026	Yes, read in full
Q2 FY27	4 Nov 2026	Yes, read in full

Six calls, every quarter since listing: about a year and a quarter of history.

Latest concall highlights: Q2 FY27 (call 4 Nov 2026)

- Consolidated revenue Rs 255.8 cr, up 3% on last year despite a weak, uneven monsoon (rains ended about 13% below normal) and drought in parts of south India and Maharashtra. EBITDA (operating profit) up 27% to Rs 40.6 cr; margin 16% vs 13%.
- First-half revenue fell 3% to Rs 424.3 cr. Gross margin rose to 29% from 26% on a better product mix, and employee and other costs were cut.
- Inventory stayed high at Rs 349.6 cr and operating cash flow was negative in the first half; the CFO expects it to turn positive in the second half.
- The planned dry flowable (DF) plant has been dropped: Rs 8.34 cr of unused IPO money is being moved to a climate-stress and plant-growth product facility at Barwasni, expected to run by Q4 FY27, because DF products faced pricing pressure.
- Management expects Q3 FY27 to stay challenging, citing industry analysts who see farm-input earnings bottoming in October-December 2026 and recovering from Q1 FY28. No numerical guidance.

Business mix & capacity

Domestic vs export: H1 FY27: branded B2C 59%, B2B technicals 35%, exports 6% of revenue. So well over nine-tenths of sales are in India. By product: crop protection 85%, plant nutrients 5%, biologicals 6%.

Capacity use: Plant utilisation averaged 60% in H1 FY27 (70% in Q1, about 50% in Q2), up from 52% in FY26. The Barwasni expansion adds about 30-40% capacity and was said in May 2026 to be operational by end of FY27, pending licences.

3. Earning Trigger thesis

Management's stated driver is a shift toward higher-margin products: biologicals and plant nutrients (gross margins of around 70% and 52%, per the Nov 2025 call), new speciality launches and a second brand through Abhiprakash Globus, plus more capacity at Barwasni. The mix shift does show in this quarter's margins. But biologicals and nutrients are still only about a tenth of sales, the business still rises and falls with the monsoon, and the earlier growth targets and plant dates have not held.

Trigger	What management said	Evidence so far	Time horizon	Strength
Higher-margin mix (biologicals, nutrients, speciality launches)	Add higher-margin products, drop low-margin ones (Nov 2026)	Gross margin 29% vs 26% in H1; three new speciality products sold about Rs 11-12 cr in H1	1-3 years	Moderate: real in margins, small in sales
Abhiprakash Globus second brand	Rs 70-80 cr revenue expected in FY26 (Aug 2025)	Q2 FY27 revenue Rs 33.35 cr, up 58% on the previous quarter; entered Chhattisgarh and Odisha	Ongoing	Moderate
Barwasni expansion	Operational by end Q1 FY27 (Feb 2026), then by end FY27 (May 2026)	Construction over, licences pending	FY27-FY28	Weak: dates keep moving
Exports to new markets	Venezuela, Taiwan, Sudan, Brazil trials, Israel	Egypt up 129%; exports still only 6% of revenue	Long	Weak

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	Term loan repaid with IPO money; only working-capital loans remain (Nov 2025).
New business	No	New export markets and products are additions to the existing business, not a new line that counts yet.
Margin up	Yes	EBITDA margin 16% vs 13% in Q2 FY27 on 'improved product mix... along with the prudent cost management' (Nov 2026).
New management	No	No change in MD or CFO mentioned.
New capacity	No	Barwasni expansion and the new climate-stress facility are not yet running; both target end of FY27.
Big orders	No	No order book; sales go through dealers.
Turnaround	No	Profitable throughout.
Promoter buying	No	Promoter stake unchanged since listing.

The single concrete driver: A richer product mix of biologicals, plant nutrients and new speciality products, which lifted the Q2 FY27 margin, though it is still a small share of sales.

3c. Margin bridge

Consolidated EBITDA margin was 16% in Q2 FY27 against 13% a year earlier, and gross margin 29% vs 26% for the half. Management credits a bigger share of high-margin products, employee costs down 8% and other costs down 14%. It would not say whether this holds, and expects Q3 to be tough (one-off until it repeats).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Aug 2025	FY26 revenue growth of 30-35%; Q2 FY26 growth over 20-25%; margins to improve	Q2 FY26 revenue about Rs 248 cr; FY26 growth about 19% consolidated (14% standalone); EBITDA margin 10.4%	Missed
Aug 2025	Abhiprakash Globus to do Rs 70-80 cr in FY26	Not confirmed on later calls	Too-early
Aug 2025 - Nov 2025	DF plant commissioned within FY26, 'firmly on track'	Still under development in Aug 2026; dropped in Nov 2026 and money redirected	Dropped
Feb 2026	Barwasni expansion operational by end Q1 FY27	May 2026: by end of FY27, licences pending	Missed
Nov 2025	'Better-than-usual H2' for FY26	Q4 FY26 margin fell to 13.5% from 16.5%; FY26 growth below the earlier aim	Partly
Feb 2026 - Nov 2026	Stopped giving numeric guidance; 'the performance should speak'	Q2 FY27 margin improved despite weak monsoon	Partly
Nov 2026	Operating cash flow positive in H2 FY27; climate-stress facility running by Q4 FY27	To be checked	Too-early

Narrative drift: The story has shifted a lot in five quarters. It opened with a confident 30-35% growth aim and a DF plant within the year. After the rain-hit Q2 FY26 shortfall, management stopped giving guidance, the Barwasni date slipped twice, and the DF plant was finally dropped for a new climate-stress product line. Each miss is put down to weather, which is partly fair for an agrochemical company, but the tone has moved from bold targets to 'challenging quarter' caution.

5. Bottom line

Durable earning trigger? → MAYBE

There is a named lever, higher-margin biologicals, nutrients and new speciality products, and it did lift Q2 FY27 margins in a bad monsoon. But it is still a small slice of a weather-driven generic business, sales are flat this year, and the capacity that was meant to add growth keeps slipping.

Management consistent? → NO

Management missed its first growth target by a wide margin, moved the Barwasni date twice and dropped the DF plant it had called firmly on track. It has since stopped guiding. The pattern is promises slipping, not delivered.

6. Checkpoints for next quarter

- Operating cash flow turns positive in the second half
- Inventory comes down from the September level
- Barwasni expansion gets its licences and starts by end of FY27

This is not investment advice. Do your own due diligence.